

Business Insurance — Commercial Cleaning • 12 Employees • 3 Vans • \$2M GL + Workers Comp Needed

Executive summary — Commercial cleaning company in Austin, 12 W2 employees, 3 Ford Transit vans, \$1.2M annual revenue, 35 accounts including office buildings and medical offices. Current: \$1M/\$2M GL with NEXT \$1,200/year, \$500 deductible, no workers comp, 3 vans on personal State Farm, no umbrella, no inland marine for \$25k equipment, current total \$3,500/year. Trigger: lost bid for 20-location chain last month because couldn't provide \$2M GL with additional insured plus workers comp COI in 24 hours, driver backed van into client's loading dock two weeks ago \$4,200 damage denied because personal auto excludes business use, new clients requiring waiver of subrogation and additional insured and fast COI. Claims: 2023 floor wax damage \$8k GL covered, 2024 fender bender \$3k auto not covered for business use, NEXT renewal June 30. Considered: staying with NEXT \$1M/\$2M plus personal auto, buying workers comp online, using broker for package. Budget \$8k hard cap \$12k perfect annually monthly payments, under \$1k deductible, need live by June 30. Must-haves: \$2M GL with additional insured and waiver, workers comp 12 employees class code 9014, commercial auto 3 vans \$500k CSL, umbrella \$2M over GL and auto, inland marine \$25k, fast 24-hour COI, correct class for medical offices. Risks: workers comp audit \$4k extra, claim denied for personal auto and W2 vs contractor, slow COI losing chain, umbrella not covering both, overlapping coverage cost, medical office professional liability need. Success in 12 months: signed 20-location chain no bids lost due to insurance, COIs in 24 hours, audit clean no \$4k bill, commercial auto covering 3 vans \$4,200 dock damage would be covered, inland marine \$25k if stolen, total under \$8k/year, \$2M umbrella active, medical offices covered, no contract lost due to waiver.

The decision

Replace \$1M/\$2M GL with NEXT \$1,200/year plus personal auto on 3 vans with package that provides \$2M GL with additional insured and waiver of subrogation capability for client contracts, workers comp for 12 W2 employees janitorial class 9014, commercial auto for 3 Ford Transit vans \$500k CSL, umbrella \$2M over GL and auto, inland marine \$25k for floor machines, fast 24-hour COI issuance, correct class for medical offices exposure, under \$8k hard cap \$12k perfect annually monthly payments under \$1k deductible live by June 30, or keep current NEXT \$1M/\$2M plus personal auto and risk losing 20-location chain and \$4,200 dock damages if no package meets audit, COI speed, and coverage gaps.

Decision maker

Owner of commercial cleaning company Austin — 12 W2 employees, 3 vans, \$1.2M revenue, 35 accounts office and medical, manages operations and client COI requests, CPA says employees are W2 not contractors, NEXT renewal June 30.

Situation

Current: Commercial cleaning company Austin, 12 W2 employees, 3 Ford Transit vans, \$1.2M annual revenue, 35 accounts including office buildings and medical offices, \$25k equipment floor machines and vacuums. Current coverage: \$1M/\$2M GL with NEXT \$1,200/year \$500 deductible, no workers comp, 3 vans on personal State Farm, no umbrella, no inland marine, current total \$3,500/year. One 2023 GL claim \$8k floor wax damage covered, one 2024 auto fender bender \$3k not covered because personal excludes business use. NEXT renewal June 30 deadline.

Usage: Clients requiring \$2M GL with additional insured and waiver of subrogation and workers comp certificate, need COI within 24 hours not 3 days, medical offices cleaning exposure, 20-location chain bid lost last month due to insurance, driver backed van into loading dock \$4,200 damage two weeks ago denied, need audit that isn't surprise \$4k extra if misclassified.

Financial: Currently \$3,500/year total, can go to \$8k hard cap \$12k if perfect annually, monthly payments needed, deductible under \$1k, live by June 30, need package covering 12 employees class 9014, 3 vans \$500k CSL, umbrella

\$2M, inland marine \$25k, plus \$2M GL.

Desired outcome

In 12 months: signed 20-location chain and didn't lose any bids due to insurance, all COIs with additional insured issued within 24 hours, workers comp audit clean with no extra \$4k bill, commercial auto covering 3 vans with no gaps — that \$4,200 dock damage would be covered, inland marine covered \$25k equipment if van stolen, total under \$8k/year, umbrella \$2M active, medical offices covered, no contract lost because of waiver of subrogation, sleep knowing coverage fits.

Prior experience

- \$1M/\$2M GL with NEXT \$1,200/year \$500 deductible — 2023 floor wax damage \$8k covered but \$2M GL required now, can't do additional insured fast
- Personal auto on 3 Ford Transits State Farm — 2024 fender bender \$3k not covered for business use, \$4,200 dock damage denied two weeks ago
- No workers comp — thought contractors but CPA says W2, worried about audit \$4k extra if class 9014 misclassified
- No umbrella, no inland marine — \$25k equipment at risk, no \$2M umbrella over GL and auto, medical office exposure unclear

Priorities

- \$2M general liability with additional insured and waiver of subrogation capability for client contracts, fast 24-hour COI issuance
- Workers comp for 12 W2 employees janitorial class code 9014 with no contractor exclusion, audit clean no surprise \$4k bill
- Commercial auto for 3 vans at least \$500k CSL covering business use — that \$4,200 dock damage would be covered
- Umbrella \$2M over GL and auto together, not GL only
- Inland marine \$25k for floor machines and vacuums if van stolen
- Correct class for medical offices cleaning exposure, professional liability if required
- Agent responsive — COI with additional insured in 24 hours

Constraints

- Budget \$3,500 now, \$8k hard cap \$12k perfect annually, monthly payments needed, under \$1k deductible, total under \$8k/year target
- Timeline live by June 30 before NEXT renewal, can't have gap
- 12 W2 employees janitorial class 9014 — not contractors, CPA says W2, can't misclassify
- 3 Ford Transit vans — must be commercial auto \$500k CSL, personal auto denies business use
- Client requirements — \$2M GL, additional insured, waiver of subrogation, workers comp certificate, medical offices exposure
- \$25k equipment — inland marine needed

Options considered

- Keep \$1M/\$2M GL with NEXT \$1,200/year plus personal auto on 3 vans — avoids \$8k spend but loses 20-location chain, \$4,200 dock damage not covered, no workers comp, no umbrella, no inland marine

- Add workers comp online standalone — covers 12 employees but may misclassify class 9014 and audit bills \$4k extra, doesn't solve commercial auto or \$2M GL
- Package from broker — \$2M GL with additional insured + waiver, workers comp 12 employees 9014, commercial auto 3 vans \$500k CSL, umbrella \$2M, inland marine \$25k — higher than \$3,500 but meets client \$2M requirement and fast COI
- NEXT plus commercial auto only — covers vans but still no workers comp and no \$2M GL and no umbrella \$2M and slow COI for 20-location chain

Tradeoffs

- Cheap online NEXT \$1,200 vs package \$8k cap \$12k perfect — cheap saves now but loses 20-location chain and \$4,200 dock damage denied and no workers comp and slow COI
- Workers comp standalone vs package — standalone may be cheaper but audit surprise \$4k if class 9014 misclassified, package includes correct class and audit clean
- Commercial auto personal vs commercial — personal \$3,500 total now but denies business use \$4,200 dock damage, commercial adds cost but covers 3 vans \$500k CSL
- Fast COI agent vs cheap online — cheap online can't issue additional insured in 24 hours losing chain, broker can but costs more within \$8k cap
- \$2M GL vs \$1M/\$2M GL — \$1M/\$2M \$1,200/year meets current but 20-location chain requires \$2M, medical offices may need professional liability extra

Risks and concerns

- Workers comp audit \$4k extra at year end if class 9014 misclassified or contractors vs W2 wrong — CPA says W2, prior thought contractors
- Claim denied because van on personal auto — \$4,200 dock damage two weeks ago denied, \$3k fender bender 2024 not covered for business use
- Overlapping coverages paying twice — GL plus commercial auto plus umbrella \$2M not coordinating
- Slow agent can't get COI with additional insured in 24 hours — lost 20-location chain last month, need 24-hour not 3 days
- Umbrella \$2M doesn't cover both GL and auto together — need over both, not GL only
- Medical office professional liability need — client says need it or lose them, inland marine \$25k equipment stolen from van

Unknowns

- Real workers comp rate for 12 employees class 9014 janitorial — does \$8k cap \$12k perfect include audit clean no extra \$4k bill?
- Real commercial auto rate for 3 Ford Transits \$500k CSL business use — does total under \$8k/year cover \$4,200 dock damage type?
- Does \$2M GL with additional insured and waiver include medical offices cleaning exposure and professional liability if required?
- Does umbrella \$2M cover both GL and auto together and inland marine \$25k equipment?
- Can agent issue COI with additional insured and waiver in 24 hours for 20-location chain and handle 35 accounts fast?
- Audit surprise — will year-end audit bill \$4k extra if employees W2 vs contractors misclassified?

Decision criteria

- \$2M GL with additional insured and waiver of subrogation capability, fast 24-hour COI issuance, covers medical offices exposure
- Workers comp for 12 W2 employees janitorial class 9014 with no contractor exclusion, audit clean no \$4k extra bill
- Commercial auto for 3 Ford Transit vans \$500k CSL covering business use — \$4,200 dock damage would be covered
- Umbrella \$2M over GL and auto together, inland marine \$25k for floor machines
- Total under \$8k hard cap \$12k perfect annually monthly payments under \$1k deductible live by June 30, no contracts lost due to insurance, no bids lost
- Agent responsive and audit handling

Next steps

1. Pull NEXT declarations page \$1M/\$2M \$1,200/year and State Farm personal auto pages for 3 vans and 2023 \$8k GL claim and 2024 \$3k auto and \$4,200 dock damage details and CPA letter W2 vs contractor
2. Shortlist 3 brokers: one independent who writes janitorial class 9014, one NEXT plus commercial auto package, one online workers comp that guarantees audit clean — request package quote for \$2M GL with additional insured + waiver, workers comp 12 employees, commercial auto 3 vans \$500k CSL, umbrella \$2M, inland marine \$25k
3. Test COI speed — ask each to issue sample COI with additional insured and waiver for 20-location chain within 24 hours and check medical office exposure covered
4. Get out-the-door pricing under \$8k cap \$12k perfect annually monthly payments, under \$1k deductible, audit terms no surprise \$4k bill, and confirm commercial auto covers \$4,200 dock damage type and umbrella \$2M covers both GL and auto
5. Bind coverage live by June 30 before NEXT renewal, issue COI for 20-location chain, and set calendar for workers comp audit prep

Recommendation

Do not keep \$1M/\$2M GL with NEXT plus personal auto on 3 vans if it loses 20-location chain and \$4,200 dock damage denied and no workers comp. Do not buy workers comp standalone online if class 9014 misclassified and audit bills \$4k extra and no fast COI. Do not buy if commercial auto \$500k CSL doesn't cover business use and umbrella \$2M doesn't cover both GL and auto and inland marine \$25k not included. Proceed only with package under \$8k cap \$12k perfect annually monthly payments under \$1k deductible that proves in quote: \$2M GL with additional insured and waiver 24-hour COI, workers comp 12 employees 9014 audit clean, commercial auto 3 vans \$500k CSL covering \$4,200 dock damage, umbrella \$2M over GL and auto, inland marine \$25k, medical offices covered, live by June 30. If no package meets all under \$12k, negotiate broker to \$8k or consider raising deductible to stay under \$12k and keep NEXT \$1M/\$2M as interim but risk losing chain.